



[Weekly Market Commentary](#)

Dear clients,

As we look ahead to 3Q24, there are some supply-side headwinds that already seem to be interfering with our relatively constructive view for the crypto asset class this quarter. These include in-kind Mt. Gox repayments worth around \$9.8B, in-kind Gemini distributions worth around \$2.2B and the cash settlement of the FTX estate worth between \$14.5B and \$16.3B. Among these, we think that the Mt. Gox repayments are garnering the most attention among market players in the short-term due to the trustee's recent wallet movements. Nevertheless, we believe that the overall selling pressure from this source may ultimately undershoot expectations. Separately, near-term attention remains centered around Ethereum as US spot ETH ETF issuers have begun to submit amended S-1 filings.

Meanwhile, Solana validators recently passed a vote to remove the 50% burn on priority fees and reward the full fee to validators instead. In our view, the elimination of priority fee burns will have a relatively small effect on net SOL issuance in the near term compared to the 5.3% realized inflation rate over the past 12 months. That said, this would eliminate the majority of current SOL burn. Priority fees currently constitute upwards of 85% of all transaction fees – and burns by extension. More importantly, we think this change highlights an often overlooked aspect of Solana's network governance whereby onchain voting mechanisms can have a direct impact on fundamental network changes in contrast to Ethereum.

Finally, Ethereum blob utilization has been driven upwards as a result of adoption by rollups like Scroll, Blast, and Taiko. Unlike the previous blob utilization peaks in late March and mid April that were driven by inscriptions, we think rollup-based blob activity is less likely to be transient in nature. Blob counts still typically operate below the target threshold, though further adoption by application specific layer-2s (L2s) could spike blob fees and incentivize adoption of other data availability layers like EigenDA or Celestia. That said, there is still room for optimization in blob utilization. The inclusion of PeerDAS in the Pectra upgrade slated for 1Q25 also provides a path forward for expanding blob capacity in the longer term.

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